



PRELIMINARY BUDGET PRESENTATION

**TOWN OF LUNENBURG
FEBRUARY 19, 2026**

Presented by
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Town Manager



FY 2027 REVENUES



FY 2027 Revenues

Property Tax: \$36,332,933.80

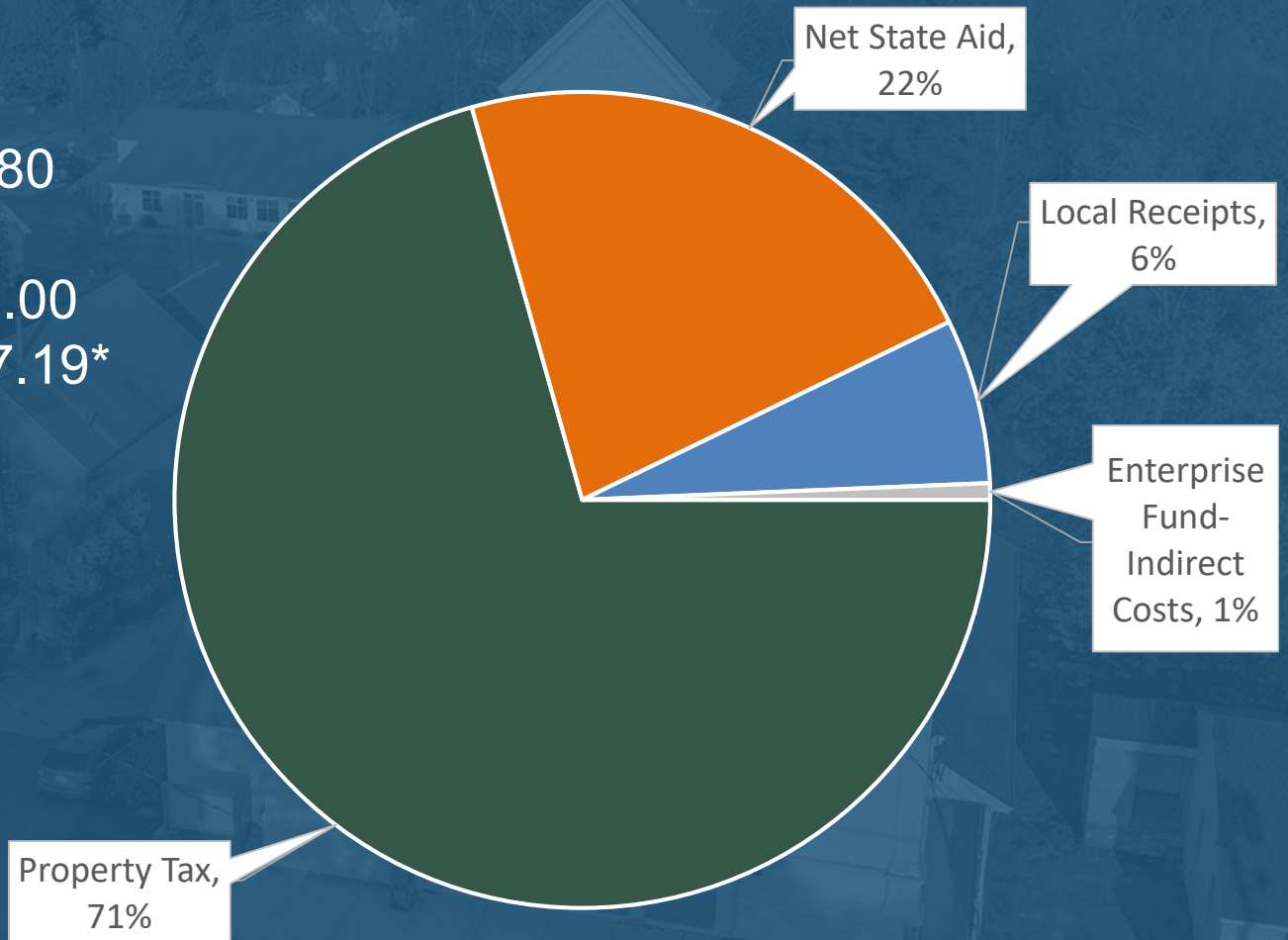
State Aid: \$11,404,917.00

Local Receipts: \$3,360,524.00

Enterprise Funds: \$338,397.19*

Total: \$51,436,771.99

*Under Review





FY 2027 Property Tax

Largest Piece of the Revenue Pie

FY 2026 Levy Limit: \$32,910,811

2 ½% Increase: \$822,770.28

Estimated New Growth: \$400,000

Excluded Debt: \$2,199,352.52

MAXIMUM ALLOWABLE LEVY: \$36,332,933.80



New Growth

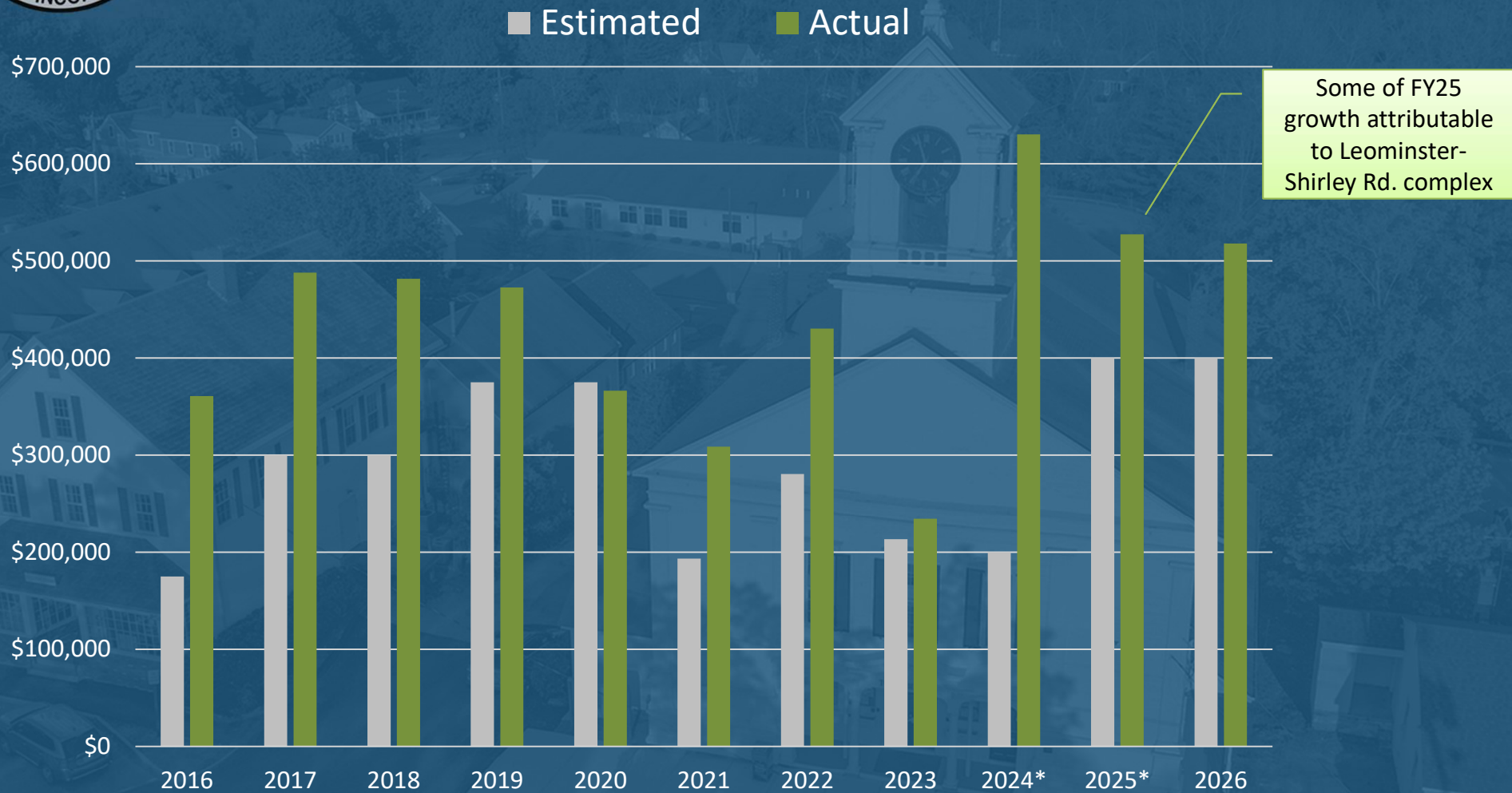
What is New Growth?

The additional tax revenue generated by new construction, renovations and other increases in the property tax base during a calendar year.

It does not include value increases caused by normal market forces or by revaluations.



New Growth



*FY24 and *FY25 higher actual new growth due to new construction and parcels missed in FY22 and FY23

FY27 New Growth Estimate: \$400,000



Assuming Level State Aid

Second Largest Piece of the Revenue Pie

State Aid Receipts: \$11,404,917

- Education: \$9,726,003
 - Chapter 70: \$9,349,335
 - Charter Tuition Reimb.: \$58,244
 - Smart Growth Reimb.: \$318,424
- UGGA: \$1,349,272
- Veterans Benefits: \$66,218
- Exemptions: \$102,040
- State Owned Land: \$49,237
- Offset Receipts: \$112,147
 - School Choice Receiving Tuition: \$77,329 (sweeps to school)
 - Public Libraries: \$34,818 (sweeps to library)

Cherry Sheet Assessments: \$1,069,349

- Mosquito Control: \$91,562
- Air Pollution Districts: \$3,763
- RMV Non-Renewal Surcharge: \$8,060
- MBTA: \$24,713
- Regional Transit: \$66,681
- School Choice Sending Tuition: \$472,312
- Charter School Sending Tuition: \$402,258



FY 2027 Local Receipts Estimate

Smallest Piece of the Revenue Pie

Definition: Local estimated receipts include motor vehicle, meals and room excises, fines and forfeits, fees, licenses and permits, other departmental receipts, penalties and interest on taxes and excises and investment income.

They are separate from real and personal property tax levy receipts and vary greatly in amount among communities.

“Local receipts should be budgeted conservatively and not at historically high levels” - MA Division of Local Services



FY 2027 Local Receipts Estimate

Receipt Type	FY 25 Actual	FY 26 Budget	FY 27 Budget
Motor Vehicle Excise	\$2,190,195.56	\$1,875,000	\$1,875,000
Meal & Cannabis Excise	\$160,458.23	\$125,000*	\$125,000
Penalties/Interest on Taxes and Excises	\$141,872.02	\$140,000	\$140,000
PILOT	\$1,605.75	\$1,600	\$1,600
Fees	\$202,017.87	\$180,000	\$180,000
Dept. Revenue- Schools (Pre-School Tuition, Parking, Special Education Reimbursement)	\$183,945.08	\$61,411	\$61,411
Dept. Revenue Cemetery Burials	\$3,800.00	\$3,500	\$3,500
Other Departmental Revenue (Ambulance)	\$481,173.92	\$275,000*	\$275,000
Licenses/Permits	\$353,444.01	\$350,000*	\$350,000
Special Assessments (Trailer Parks)	\$26,592.00	\$12,000	\$12,000
Fines and Forfeits	\$17,432.57	\$12,013	\$12,013
Investment Income	\$588,996.51	\$100,000*	\$100,000
Misc. Non-Recurring (Sale of Property, Net Metering Credits, Meadow Woods P&I)	\$280,843.25	\$225,000*	\$225,000

* Increased in FY26. No adjustments in FY27.



FY 2027 Total Revenue Available for Appropriation

Starting Revenue: \$51,436,771.99

- Less Non-Appropriated Expenses: \$1,441,496
 - Offset Receipts: \$112,147 (School Choice and Library sweeps from the Cherry Sheet)
 - Assessors Overlay: \$260,000
 - Cherry Sheet Assessments: \$1,069,349
- Less Levy Appropriated to the Capital Plan: \$244,576

Total Revenues Available for Appropriation: \$49,750,699.99



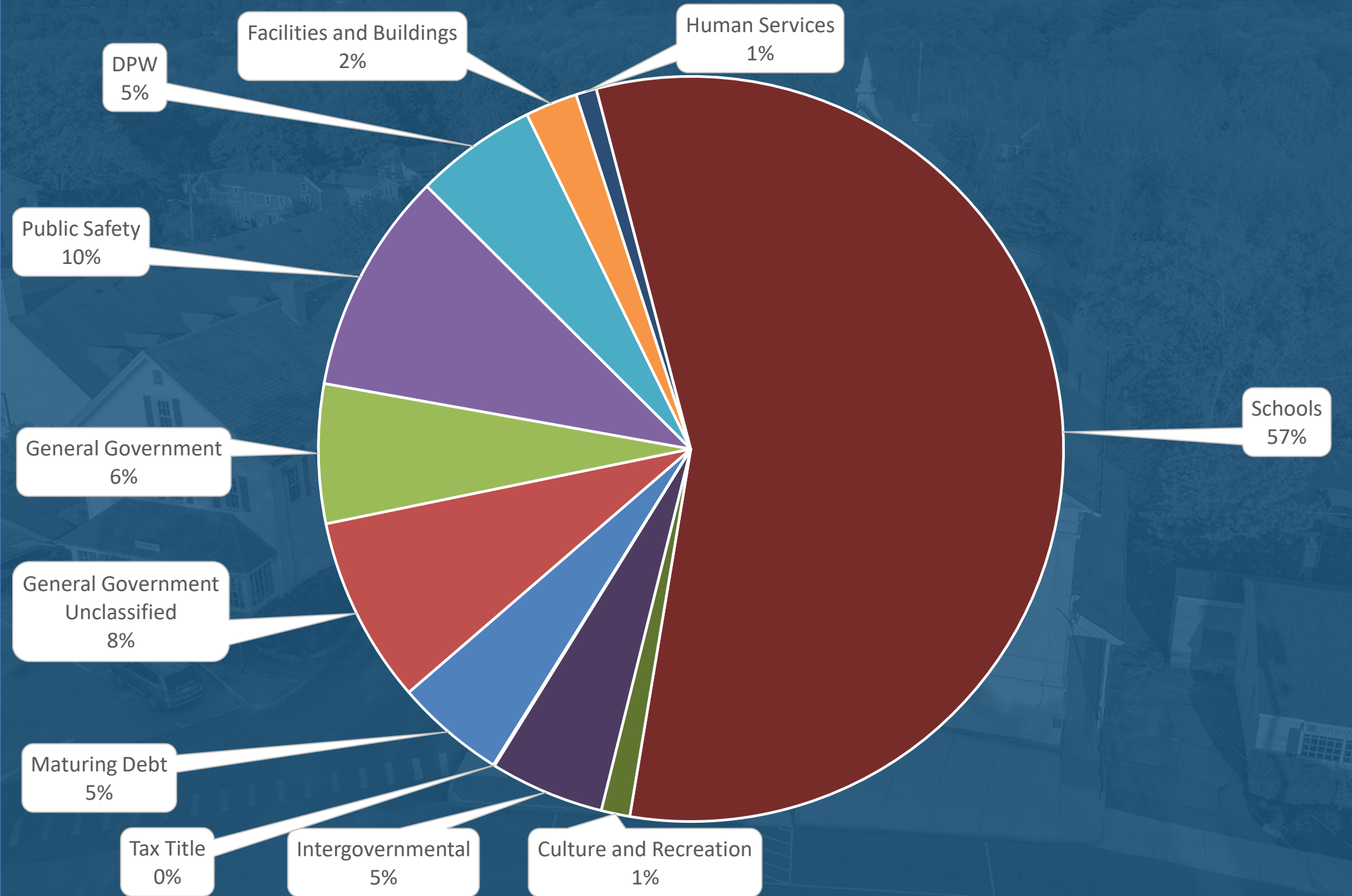
FY 2027 PRELIMINARY EXPENDITURES



FY 2027 Expenditure Summary

Category	FY25 Budget	FY25 Actual	FY26 Budget	FY27 Preliminary	\$ Change	% Change
Maturing Debt	\$2,941,321.50	\$2,941,321.50	\$2,547,440.36	\$2,537,578.36	(\$9,862.00)	-0.39%
General Government Unclassified	\$3,879,254.21	\$3,489,708.96	\$4,107,709.13	\$4,312,004.12	\$204,294.99	4.97%
General Government	\$2,752,295.15	\$2,234,013.96	\$2,962,263.14	\$3,205,051.24	\$242,788.10	8.20%
Public Safety	\$4,481,172.66	\$4,222,405.73	\$4,547,849.28	\$5,118,965.26	\$571,115.98	12.56%
DPW	\$2,703,652.09	\$2,884,846.15	\$2,476,953.29	\$2,807,177.51	\$330,224.22	13.33%
Facilities and Buildings	\$992,711.12	\$1,024,973.60	\$1,067,396.40	\$1,203,408.16	\$136,011.76	12.74%
Human Services	\$456,731.74	\$411,404.60	\$478,242.76	\$480,162.04	\$1,919.28	0.40%
Schools	\$26,109,022.00	\$25,611,971.71	\$27,121,995.00	\$30,115,565.00	\$2,993,570.00	11.04%
Culture and Recreation	\$591,989.77	\$608,551.50	\$639,036.76	\$662,162.24	\$23,125.48	3.62%
Intergovernmental	\$2,132,169.76	\$2,132,169.76	\$2,397,049.98	\$2,635,339.93	\$238,289.95	9.94%
Tax Title	\$29,000.00	\$7,144.13	\$30,500.00	\$30,500.00	\$0.00	0.00%
Total	\$47,069,320.00	\$45,568,511.60	\$48,376,436.10	\$53,107,913.86	\$4,731,477.76	9.78%

FY 2027 Expenditure Summary





Maturing Debt

\$2,537,578.36

\$9,862.00 / $-.39\%$ Decrease

Debt service is decreasing as borrowing is paid down.

Excluded Tax Supported Debt:

- MS/HS Construction (\$9M issue): \$477,775.00
- MS/HS Construction (\$20.605M issue): \$1,107,971.26
- MS/HS Construction (\$4.020M issue): \$216,462.50
- Pavement Management Plan (800k issue): \$74,150.00
- Pavement Management Plan (875k issue): \$71,100.00
- Pavement Management Plan (\$1,150,000 issue): \$115,800.00
- Pavement Management Plan (\$1,020,000 issue): \$80,650.00
- MS/HS Construction (\$675,000 issue): \$55,443.76



Maturing Debt

\$2,537,578.36

\$9,862.00 / .39% Decrease

Debt service is decreasing as borrowing is paid down.

Non Excluded Tax Supported Debt:

- Comp Wastewater Mgmt. Plan 3/18/09 - (Series 14 Final): \$20,325.76
- Turf Field 1/25/17 (\$760k): \$76,450.00
- Meadow Woods Water Project: \$58,837.50

Enterprise Fund Supported Debt:

- SRF Pool 13 (CW-00-39-D): \$14,145.76
- SRF Series 19 (CW-14-29): \$73,791.82
- Meadow Woods Sewer Project: \$82,875.00
- Sewer Bonds 1/25/17 (\$145k): \$11,800.00



General Government Unclassified

\$4,312,004.12

\$204,294.99 / 4.97% Increase

Budget Includes:

- Workers Compensation: reduced by \$10,000 (6.9% decrease)- based on actuals
- Unemployment Compensation
- Employee/Retiree Insurance (does not include school active employees):
 - Active plan increase of 8.85%
 - Retiree plan increases in January (estimating 16% increase on MBFS and 19% on Medex)
 - Active negotiations with PEC- may affect final rates and opt out program
 - Budgeting 6 Family and 6 Individual Blue Care Elect Plans
 - Total Increase of \$193,440.27 (5.86%)
- Liability Insurance: \$5,854.72 (2.5%) increase
- Life Insurance: presently budgeted with \$5,000 (33.33%) increase
- Medicare: this is the FICA Medicare tax and is based on total payroll



General Government

\$3,205,051.24

\$242,788.10 / 8.20% Increase

Budget Includes:

- Select Board: Fully funds PR/Crisis communication contract within Select Board budget, 21,615.01 (11.99%)
- Town Manager: Funds ½ year of new Assistant Town Manager position at \$60,000, assumes \$15,000 increase to legal fees, reductions made to meetings, dues, and mileage- \$77,028.00 (25.23%)
- Finance Committee: Reduced meetings and schools by \$225 (16.67% decrease)
- Finance Committee Reserve
- Salary Reserve: Has not been adjusted for FY27- will include COLA for SAP employees and any wage adjustments associated with three labor contracts under negotiation (DPW, Fire, and Clerical Union)



General Government

\$3,205,051.24

\$242,788.10 / 8.20% Increase

Budget Includes:

- Town Accountant: Contractual increase for Finance Director/Town Accountant, \$25,000 increase for annual audit, some reductions due to retirement
\$33,260.48 (10.29%)
- Assessors: Includes \$27,500 in funding for the temporary Special Assistant to the Assessor position to be utilized to achieve compliance with Department of Revenue directives- \$27,632.46 (9.29%) total increase
- Treasurer/Collector: Small adjustments for increased trainings for staff certification stipend for Collector- \$7,814.36 (3.13%); \$1,600 is above level services
- IT: MUNIS no longer supported by ARPA, reduced IT contractor to 4 days per week, eliminated ClearGov software, telephone charges increased to actuals- \$43,027.91 (8.76%) increase



General Government

\$3,205,051.24

\$242,788.10 / 8.20% Increase

Budget Includes:

- Town Clerk/Elections/Registration & Census: Increases driven by election in FY27- \$15,328.97 (8.73%)
- Land Use: \$5,805.91 (1.32%) increase
- APDC
- Town Report: Funds Town Report and Town Meeting mailers. Increased to actual costs- \$9,000.00 (128.57%) increase
- Central Purchasing: Level funded; includes postage for all Departments, beginning FY26
- Physicals: Increase to actual costs- \$2,500.00 (71.43%) increase



Public Safety

\$5,118,965.26

\$571,115.98 / 12.56% Increase

Budget Includes:

- Police Department: Funds contractual obligations, eliminates one Sergeant position and 1 SRO, and adds one Detective- \$175,385.45 (7.29%)
- Police Lock Up
- Injury Leave
- Police/Fire Medical: Adjusted to actual costs- \$2,000.00 (50%) increase
- Fire Department: Funds the above-level service "Fourth Shift/42 Hour Schedule". Includes wage adjustment for anticipated vacancy in Chief position due to retirement and increases to EMS Supply line- total Increase of \$379,967.51 (22.12%)
- Fire Hydrant Expense



Public Safety

\$5,118,965.26

\$571,115.98 / 12.56% Increase

Budget Includes:

- Radio Equipment Maintenance 5,000 (50%) increase
- Radio Watch: Assessment remained level due to addition of new member communities in the Regional Dispatch- increase of \$2,000.02 (.97%)
- Emergency Management
- Sealer of Weights and Measures: Town contracts with Commonwealth- actual cost of contract requires budget increase of \$6,763.00 (147.02%)
- Animal Control



Public Works

\$2,807,177.51

\$330,224.22 / 13.33% Increase

Budget Includes:

- Highway Administration: Does not include wage adjustments that are subject to collective bargaining. Contract expired June 30, 2024 and is currently under negotiations; includes new part-time administrative position at \$25,000. \$54,553.60 (8.47% increase)
- Highway Construction and Maintenance: \$25,000 increase to address backlog of drainage work, increase for streetlight costs, and \$340,000 increase to address mandatory catch basin cleaning and sweeping. Pavement management plan not increased to pre-FY26 levels. Total increase of \$371,000 (58.44%)
- Traffic Signs & Devices: Reduced by \$11,700 (41.05%)- Reduced line striping



Public Works

\$2,807,177.51

\$330,224.22 / 13.33% Increase

Budget Includes:

- Vehicle Maintenance DPW: \$5,000 (7.97% increase)
- Vehicle Maintenance Police
- Vehicle Maintenance Fire: \$10,000 (20% increase)
- Cemetery- Contract under negotiation
- Tree Removal: \$1,000 (2.6%) increase to overtime line
- Snow Removal: Allowed to deficit spend. \$8,889.29 (2.5%) increase
- Recycling Program: \$106,646 (22.69%) decrease after review of past year expenditures



Facilities and Buildings

\$1,203,408.16

\$136,011.76 / 12.74% Increase

Budget Includes:

- Facilities and Grounds: Contract under negotiation. Includes additional \$25,000 increase to purchase of services line (\$15,000 of which is above level services) as well as \$7,500 vehicle allowance for Director. Total increase of \$58,868.86 (8.27%)
- Public Buildings: Increases to electricity, trash, gas, water, and sewer. Increases include costs associated with budgeting the operations of the TC Passios building- \$66,142.90 (29.88%) increase
- Park Department: Recreation Director position is vacant, but Town is actively interviewing. \$1,000 increase to beach salaries and \$10,000 increase for landscaping- total increase of \$11,000 (8.18%)



Human Services

\$480,162.04

\$1,919.28 / .040% Increase

Budget Includes:

- General Health Expense: \$1,123.56 (1.98%) increase
- Nashoba Board of Health: \$14,344.60 (30%) assessment increase
- Nashoba Nursing: \$6,574.62 (30%) assessment increase
- Council on Aging: Discussing staffing configurations with Director; currently at a \$20,147.50 decrease, but may change based on discussions
- Veteran's Administration



Schools

\$30,115,565.00

\$2,993,570.00 / 11.04% Increase

Budget Includes:

- Lunenburg Public Schools: \$2,875,712.00 (11.15%) increase
- Monty Tech: \$117,858.00 (8.83%) increase



Culture and Recreation

\$662,162.24

\$23,125.48 / 3.62% Increase

Budget Includes:

- Band Concerts
- Library: \$5,000 above level service increase to programs, with offsetting decrease to book service, \$10,937 increase to library materials, and increase to professional development, with offsetting decrease to mileage- total increase of \$23,125.48 (3.66%)
- Historical Commission



Intergovernmental

\$2,635,339.93

\$238,289.95 / 9.94% Increase

Budget Includes:

- Worcester Regional Retirement: \$238,178 (9.95% increase)
- Montachusett Regional Planning Commission: \$111.95 (2.5% increase)
- Note: In FY26 Cherry Sheet Assessments were moved inside of the operating budget. That will revert in FY27.



Tax Title

\$30,500.00

No changes to tax title budget.



Ongoing Matters with Budgetary Impact

The Town is currently negotiating with 3 labor unions: DPW (out of a contract since June 30, 2024) Fire, and the Clerical Union.

Negotiations ongoing with the Public Employee Committee relative to health insurance.

Potential wind-down of the operations of the TC Passios building and subsequent impact to PACC operating budget.

Exploring changes to the recycling program.

Exploring feasibility of further service reduction with IT service provider.

Staffing configuration at Adult Activity Center.

Parks staffing configuration if PT Recreation Director is not filled.

Salary Administrative Plan employees COLA.



FY27 Budget as Presented V. Available Funds

The Total FY27 Town of Lunenburg Budget as Presented: \$53,107,913.87

Total available revenues for FY27: \$49,750,699.99

TOTAL FY27 DEFICIT: \$3,357,213.88



FY27 Budget as Presented V. Available Funds

The total “new revenue” for FY27 is \$1,374,263.89

The FY27 Monty Tech assessment is \$117,858.00

This leaves \$1,256,405.89



FY27 Budget as Presented V. Available Funds

Presently the School is 53.33% of the budget and the Town is 43.91%.

If the \$1,256,405.89 is distributed proportionally:

School: \$689,059.28

- FY27 School Budget Increase: \$2,875,712.00
- Deficit: \$2,186,652.72

Town: \$567,346.61

- FY27 Town Budget Increase: \$1,737,907.77
- Deficit: \$1,170,561.16



What's Next?

Once Free Cash is Certified, we will revisit FY27 Capital Plan and other planned expenditures (OPEB, Stabilization, Snow & Ice, etc.)

Departmental Presentations to Finance Committee continue.

Budgets are revised over the next weeks and months.

Tri-Board reconvenes to discuss next steps.



What's Next?

Fourth Shift Fire Presentation 2.23.26

Finance Committee Public Hearing 3.19.26

FY27 Budget Forums to be scheduled

Annual Town Meeting 5.2.26 at 9:00 a.m.

State Budget finalized by early summer



THANK YOU